Note:

Original cost = Purchase price + Expenses to be capitalised

= 80,000 + 20,000 = ₹ 1,00,000

Illustration 3

Find out the rate of depreciation under straight line method from the following details:

Original cost of the asset = ₹ 10,000

Estimated life of the asset = 10 years

Estimated scrap value at the end = ₹ 2,000

Solution

$$\text{Amount of depreciation per year} = \frac{\text{Original cost of the asset} - \text{Estimated scrap value}}{\text{Estimated useful life of the asset in years}}$$

$$= \frac{10,000 - 2,000}{10} = \frac{8,000}{10} = ₹\ 800 \text{ per year}$$

$$\text{Rate of depreciation} = \frac{\text{Amount of depreciation per year}}{\text{Original cost}} \times 100$$

$$= \frac{800}{10,000} \times 100 = 8\%$$

10.7.2 Written down value / Diminishing balance method

Under this method, depreciation is charged at a fixed percentage on the written down value of the asset every year. Hence, it is called written down value method. Written down value is the book value of the asset, i.e., original cost of the asset minus depreciation upto the previous accounting period. As the amount of depreciation goes on decreasing year after year, it is called diminishing balance method or reducing installment method.



The following formula is used to compute the rate of depreciation under written down value method:

$$\left[1 - \sqrt[n]{\frac{\text{Scrap value}}{\text{Original cost}}}\right] \times 100$$

Example: Original cost ₹ 1,00,000; Scrap value ₹ 1,000; Useful life 5 years

$$\left[1 - \sqrt[5]{\frac{1,000}{1,00,000}}\right] \times 100 = [1-(0.01)^{1/5}] \times 100$$

$$= (1 - 0.3981) \times 100$$

$$= 0.6019 \times 100 = 60.19\%$$

Rate of depreciation = 60.19%

If the scrap value is 10,000; rate of depreciation is 36.90%

If there is no scrap value, rate of depreciation will be 100%. Hence, to calculate depreciation the scrap value is taken as 1.

If the scrap value is less, rate of depreciation will be high.

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